

A European Digital Services Tax: The Case for an EU Instrument

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1 The problem: corporate tax was not built for the digital economy

Digitalisation of the economy challenges our existing fiscal system. The system is based on the principle that companies are taxable where they maintain a sufficiently substantial physical presence. That doctrine was designed in the 1920s for an industrial economy and has not been revised in any structural sense since. Technology companies can generate billions in advertising revenues, intermediation fees, and user data monetisation from users in a country and shift profit via royalty payments and intercompany transfer prices to entities holding intellectual property in another country. Not only does this amount to a transfer of corporate income tax revenues away from the places where value is created, but at a global scale, the fiscal consequence is measurable. The European Commission estimated in its 2018 impact assessment that digital companies operating in the EU face an effective corporate tax rate of approximately 9.5%, against 23.2% for traditional companies of comparable scale (?).

The debate on digital taxation in the European Union emerged from this growing fiscal mismatch. Member states raised concerns about tax fairness, competitive neutrality, and revenue losses for governments. At the same time, discussions on new EU own resources brought additional attention to the issue. In March 2018, the European Commission proposed two legislative initiatives: a significant digital presence rule to establish a digital permanent establishment, and a Digital Services Tax (DST) as a temporary measure pending an international agreement. The proposed DST would have applied a 3% tax to revenues from online advertising, digital intermediation services, and the sale of user-generated data, targeting only multinational groups with annual worldwide revenues above EUR 750 million and EU digital revenues above EUR 50 million. Estimated annual revenues stood at EUR 4.7–6 billion. Although the proposal failed to secure unanimous support in the Council, it inspired several national DSTs.

These concerns were not confined to Europe, and calls grew for a reform of the international tax system. These discussions led the G20 to mandate the OECD to develop solutions to address base erosion and profit shifting (BEPS). Following the completion of the OECD/G20 BEPS Project, negotiations continued within the OECD/G20 Inclusive Framework, which brings together more than 140 jurisdictions to further develop international tax rules. These negotiations culminated in the two-pillar solution. Pillar One aims, in particular, to reallocate taxing rights to market jurisdictions. It applies to the largest multinational enterprises, with global revenues exceeding USD 20 billion and profitability above 10%. Under its rules, 25% of residual profits (profits exceeding the 10% profitability threshold) are allocated to market jurisdictions in proportion to the revenues generated in each jurisdiction.

The Multilateral Convention was designed to implement this reallocation of taxing rights, superseding bilateral tax treaties between signatory jurisdictions. Although the text has

been finalised, ratification difficulties at the domestic level stalled the project. The United States withdrew from the negotiations in January 2025 (?). The co-chair statement of the Inclusive Framework acknowledged that the MLC text itself is stable but that unresolved issues prevent conclusion. No timeline exists.

The development of European DSTs increased pressure for an international solution, contributing to the OECD/G20 negotiations that ultimately led to Pillar One. Participating jurisdictions of Pillar One agreed to withdraw their DSTs upon application of the new agreement. The moratorium on new DSTs, maintained by OECD members as a confidence-building measure during the Pillar One negotiations, expired without renewal at the end of 2023. Countries are therefore no longer under a formal commitment to refrain from introducing or expanding DSTs. As those incentives weakened, the United States continued to pressure trading partners to abandon DSTs through the threat of trade and economic measures.

The debate on digital taxation is embedded in a complex international framework, and a European DST is designed to answer stakes that extend well beyond Europe's borders. It will change the relationship with major trading partners, and pressure should be expected. But the instrument also pushes for more global cooperation: by acting as a single bloc, the EU can demand a level of international alignment that no member state could claim alone.

2 National digital services taxes: the current landscape

The Council's failure to reach unanimity left member states with a choice: wait for an international agreement that remained uncertain, or act unilaterally. Several chose to act. France enacted the TSN in 2019, triggering a wave of similar instruments across Europe. Six years later, eight countries operate active DSTs, each with its own rate, scope, and threshold structure.

France, Italy, and Spain drew directly on the Commission's template, adopting the same three-category scope (advertising, intermediation, and user data) at the same 3 per cent rate. Austria chose a narrower instrument: online advertising only, at 5 per cent. Denmark took a different path: its levy targets on-demand audiovisual services, with a base rate of 2 per cent and a 3 per cent surcharge for providers that invest less than 5 per cent of their Danish revenues in Danish content production. It functions as much as a cultural policy tool as a fiscal one. Hungary stands apart: its advertising tax dates to 2014, predates the DST wave, and originated as a progressive media levy with motivations that were as much political as fiscal. In parallel, the United Kingdom, acting outside the EU framework after Brexit, introduced a DST at 2 per cent in 2020 on advertising and intermediation revenues, calibrated in part to limit its exposure to the USTR Section 301 process.

Table 1 summarises the DSTs in force across Europe as of mid-2026. The instruments vary substantially in rate (2% to 7.5% statutory), scope (advertising-only to three-category

broad designs), and revenue thresholds.

Table 1: Digital services taxes in force, mid-2026 (factored)

Country	Rate	Scope				Threshold (EUR M)		Revenue (EUR M)
		Ad.	Int.	Data	Stream.	Global	Domestic	
France (TSN)	6%	✓	✓	✓		750	25	756 (2024)
Italy (ISD)	3%	✓	✓	✓		750	—	637 (2025)
Spain (IDSD)	3%	✓	✓	✓		750	3	375 (2024)
Austria	5%	✓				750	25	123 (2024)
Hungary†	7.5 †%	✓				—	100	—
Denmark	2%+3%*				✓	—	DKK 15	—
Portugal	4% / 1%				✓	—	—	—

Sources: ?????. France: 2024 (DGFIP). Italy: 2025 (Corte dei Conti). Spain: 2024 (AEAT). Austria: 2024 (Thomadakis). †Hungary: statutory 7.5%; suspended to 0%, April 2026. * Denmark: 3% surcharge if provider invests less than 5% of Danish revenues in Danish content. Non-EUR domestic thresholds shown with currency symbol.

National DST revenues have proved stable and growing in the European Union. The UK’s DSL revenues rose from GBP 358 million in 2020–21 to GBP 944 million in 2025–26, an annual growth rate above 20%, driven purely by the expansion of the digital economy as the tax rate has not changed since implementation. Italy’s ISD grew from EUR 298 million (2022) to EUR 637 million (2025), a 113% increase over three years, accelerated by the January 2025 removal of its domestic revenue threshold. France doubled its rate from 3% to 6% in the 2026 finance law (??), motivated by fiscal need and mounting frustration with Pillar 1’s collapse. Those cases show that DST receipts draw on two sources: the structural expansion of the digital economy, and deliberate adjustments to the instruments themselves. Those adjustments, in particular, encode a political position: a country raises its DST to build leverage and force the negotiation forward; it reduces or withdraws when bilateral pressure makes the instrument too costly to hold, or when a deal becomes credible enough to justify stepping back. These instruments are not designed to last. They are designed to move.

The same logic operates beyond Europe but in an opposite direction. Turkey reduced its rate from 7.5% to 5% in January 2026 and has scheduled a further cut to 2.5% from 2027 (?), using the rate trajectory as a diplomatic signal of readiness to step back. Canada implemented a 3% DST in June 2024 and rescinded it twelve months later under direct bilateral pressure from the United States (?). India abolished both of its digital levies in

2024 and 2025 (??), as a unilateral bet that OECD implementation would follow.

National experience shows that the instrument is administratively tractable: applied to a small number of large multinationals on a gross revenue base, it has proved collectible in practice, and high thresholds have consistently excluded SMEs and domestic firms from its scope.

We saw that the European Union framework is dynamic but fragmented. The majority of EU member states levy no digital services tax and extract nothing from digital revenues generated in their territories, even as those revenues grow. Among those that do, each instrument sets its own thresholds, tax base, rate, and enforcement mechanism. Rates range from 2% to 7.5% and definitions of “digital advertising” or “intermediation service” differ across jurisdictions. For example, the same app distribution platform is a taxable intermediary in France and a non-taxable digital content supplier in Italy and Spain. The resulting divergence creates legal uncertainty and compliance costs for multinationals operating across member states. It also creates structuring incentives: a platform can reroute contracts, invoicing chains, or service categorisations to fall below a national threshold or outside a national definition, arbitraging between overlapping and inconsistent regimes. Individual member states implementing a DST tax have faced US Section 301 bilateral pressure without the collective leverage of the Union.

Beyond the instruments in force, Belgium’s coalition government has committed to a 3% DST by 2027, contingent on the absence of EU or OECD consensus (?); Poland has a 3% proposal at legislative review; Slovakia published a formal proposal in August 2025; the Czech Republic has a 7% proposal stalled in parliament. The question for the next few years is not whether EU member states will tax digital services. They will. The question is whether they do so in a fragmented national patchwork or through a coordinated EU instrument.

3 A European digital services tax

The proposed design follows the 2018 Commission proposal (?) and covers three categories of digital services: targeted advertising, intermediation, and the transmission of user data. A flat rate of 3 per cent applies to gross revenues in each category. The three categories share a common characteristic: the users themselves are the productive input. Advertising platforms sell attention; marketplaces sell access to a buyer and seller base; data services sell records of user behaviour. In each case, the platform captures and monetises value that users generate collectively. Much of the digital economy falls outside scope. For example, content services are excluded: users consume what the platform supplies rather than contributing to what makes it valuable. Although this claim can be debated, it is the distinction that determines the boundary between in-scope and out-of-scope services.

Targeted advertising. The taxable service is the placement of advertising on a digital interface where the selection of which ad a user sees relies on data collected from that user's prior activity. The charge falls on the entity providing the placement service. Where an ad-tech intermediary places client ads on third-party publisher interfaces, the intermediary's revenues are taxable; the publisher does not incur a second charge on the same amount. The allocation key is the number of times an advertisement appears on users' devices in each member state, identified by device IP address.

Intermediation services. The taxable service is the operation of a multi-sided digital interface through which users locate and interact with other users. Two variants are in scope.

Matching platforms (social networks, professional networks, peer-to-peer services): taxable revenues are fees charged for access, promoted visibility, or data-based matching. The allocation key is the number of users who hold an account opened from a device located in the member state.

Marketplace platforms (e-commerce, app stores, gig economy, accommodation, travel): the taxable amount is the commission or service fee charged by the platform for facilitating the underlying transaction, not the value of that transaction. A EUR 100 sale on a marketplace charging a 12 per cent commission generates EUR 12 of taxable revenue. The allocation key is the number of users who conclude a transaction from a device located in the member state.

The commission-only base is the single most consequential design choice in this category. Treating gross merchandise value as the base would convert the levy into a general sales tax with qualitatively different treaty and trade-law exposure. Revenues from the underlying supply of goods or services are entirely out of scope. Regulated payment services, investment services and trading venues subject to MiFIR/MiFID II, and regulated crowdfunding platforms are excluded from this category.

User data transmission. The taxable service is the transmission for consideration of data collected from users' activity on digital interfaces. The perimeter is narrow: only data collected from users' digital activity, transmitted to a third party, and in exchange for payment. Data used internally, shared without charge, or not originating from users' activity are all outside scope. In practice this is the smallest of the three categories. The dominant platforms primarily monetise behavioural data through advertising, already covered by the first category; an independent charge arises mainly for data broker activity where the aggregator and the advertising buyer are separate entities. The allocation key is the number of users from whose activity the data originates, by device location in the member state.

Exclusions. Digital content supplied to users through a digital interface is excluded: video, audio, games, news, and text, whether streamed or downloaded. Netflix, Spotify,

and content publishers are out of scope. The rationale is that value for content providers derives from the content itself, not from user co-creation; the multi-sided network dynamic that justifies the levy is absent. Cloud computing and software-as-a-service are excluded on the same logic: the value does not arise from matching users with one another.

Four design positions. National instruments diverged on four choices where this proposal takes explicit positions.

App stores. App distribution platforms (Apple App Store, Google Play Store) facilitate a transaction between developers and end-users, bear no content risk, and derive value from the matching mechanism. They are intermediaries and are in scope. The exclusion for digital content applies only where providing content is the sole or main purpose of the service.

Global threshold basis. The EUR 750 million global threshold applies to total revenues from all sources, not only revenues from covered services. Restricting the global test to covered-service revenues would allow large conglomerates whose digital activity is secondary to fall below the threshold while platform businesses of comparable overall scale do not.

CIT deductibility. The DST is not deductible from corporate income tax. Allowing deductibility creates an asymmetry between resident and non-resident entities and effectively reduces the rate for domestically established platforms relative to foreign competitors.

Sunset clause. The instrument includes an automatic repeal mechanism: its provisions cease to apply on the date of entry into force of any international agreement on digital economy taxation. This makes the DST explicitly transitional and structurally compatible with any future OECD outcome.

Thresholds. The tax applies only to groups exceeding EUR 750 million in total worldwide revenues from all sources and EUR 50 million in DST taxable revenues within the EU. Both tests apply at consolidated group level, preventing threshold avoidance through corporate fragmentation. The worldwide test targets companies for which EU digital activity is part of a large-scale platform business; the EU test excludes groups with substantial global revenues but negligible EU digital presence.

Nexus. Taxing rights attach to the member state where the user is located at the moment of the taxable interaction, identified by the IP address of the device. No permanent establishment or physical presence in the member state is required. The French Conseil constitutionnel confirmed in September 2025 that user location is a constitutionally adequate nexus for a revenue levy of this kind (?). No company has successfully challenged the user-location principle before any EU member state court since national DSTs entered into force in 2019.

Tax base and rate. The taxable amount is gross revenues before any deduction for costs, intragroup charges, or IP royalties. Transfer-pricing optimisation that reduces corporate income tax by routing profits through low-tax IP holding companies does not affect DST liability: advertising impressions in Germany and marketplace transactions in France remain taxable regardless of where the revenue is invoiced. The proposed rate is 3 per cent. At this rate, the three-category EU-27 base yields EUR 4.3 Bn per year (Table 2).

4 Revenue estimates

Estimating DST revenue by member state requires solving a geographic allocation problem that no public source resolves directly. Digital services revenues are booked by legal entity, typically in the jurisdiction where the operating subsidiary is registered, not where users are located.

Top-down market aggregate (M1).

$$R_i = \tau \cdot s_i \cdot M \quad (1)$$

Start from an EU-wide estimate of the in-scope revenue base M , allocate across member states by a market-share proxy s_i , apply the rate τ . This is the approach used in SWD(2018) 81 (?), which estimated the three-category EU-28 base at EUR 4.7 Bn for 2019. To bring this figure to a 2024 base, we apply the observed growth of the EU-27 digital advertising market between 2022 and 2024 (EUR 46.5 Bn to EUR 63.4 Bn, ratio 1.363) as a proxy for the growth of the broader in-scope base (?). After removing the UK share (as in the original, footnote 71 of SWD), the rebased EU-27 aggregate is EUR 4.5 Bn. Country shares are then applied using IAB 2024 national data, so the allocation reflects current market geography while the aggregate reflects the SWD methodology updated for market growth. The principal weakness remains that market data record where revenues are invoiced rather than where users are located, concentrating estimated revenues in countries with large subsidiary operations (Ireland, the Netherlands, Sweden) and understating them in large consumer markets such as Poland and Romania.

M2 and M3: calibrated from observed revenues. Both methods work from the same primary dataset: IAB Europe’s national digital advertising expenditures A_i , which record what advertisers spent in each market in 2024 (?). The DST base is broader than advertising alone: it also covers intermediation fees and user data transmission. The coefficient k_i measures by how much the full three-category base exceeds the advertising market in countries where both are observable:

$$k_i = \frac{R_i^{\text{obs}}/\tau_i}{A_i}, \quad R_j^{\text{est}} = \tau \cdot \bar{k} \cdot A_j \quad (2)$$

France and Spain are the two anchor countries: three-category DSTs at 3%, confirmed 2024 revenues, comparable scope. With $A_{\text{FR}} = \text{EUR } 11,209 \text{ M}$ and $A_{\text{ES}} = \text{EUR } 5,904 \text{ M}$:

$$k_{\text{FR}} = \frac{756/0.03}{11,209} = 2.25, \quad k_{\text{ES}} = \frac{375/0.03}{5,904} = 2.12 \quad (3)$$

The mean $\bar{k} = 2.19$: the three-category base is approximately 2.2 times the advertising market alone. Applied to the IAB EU-27 total, this gives an aggregate of EUR 4,332 M. Austria (5% advertising-only, EUR 123 M) gives $k_{\text{AT}} = 1.13$, consistent with a single-category instrument; Italy’s 2025 figure implies $k_{\text{IT}} = 3.30$, inflated by the January 2025 threshold removal. France and Spain remain the preferred anchors.

The two methods differ only in the second step: how that aggregate is distributed across member states. M2 allocates by IAB national advertising shares, which reflect booking geography (headquarters-weighted). M3 takes the same EU-27 total and reallocates it using Eurostat demand-side weights (individuals ordering online by country, *isoc_ec_ib20*), which is closer to the user-location nexus the tax actually applies. The calibration anchors determine the size of the aggregate only; M3 requires no separate anchors because the redistribution is an independent step applied to an already-fixed total.

Table 2 presents member-state estimates under all three methods. M2 and M3 both yield an EU-27 total of EUR 4.3 Bn, grounded in observed national DST revenues; they differ in how that total is distributed across member states.

Table 2: Classic three-category DST revenue by method and member state (EUR m, 3% rate)

Member state	M1	M2	M3	Conf.
	<i>SWD/2024</i>	<i>calibr./2024</i>	<i>Eurostat/2024</i>	<i>admin.</i>
Austria ^c	149	143	105	123
Belgium	82	80	148	—
Bulgaria	8	8	28	—
Croatia	11	10	34	—
Cyprus ^e	1	1	12	—
Czech Republic	119	114	131	—
Denmark	160	153	79	—
Estonia	10	9	17	—
Finland	50	49	72	—
France ^a	759	734	798	756
Germany	1,213	1,172	721	—
Greece	25	24	68	—

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Member state	M1	M2	M3	Conf.
Hungary	37	36	103	—
Ireland ^d	(72)	(69)	(72)	—
Italy ^b	436	422	344	637
Latvia	10	9	20	—
Lithuania	16	16	30	—
Luxembourg ^e	1	1	7	—
Malta ^e	1	0	5	—
Netherlands	293	283	246	—
Poland	192	185	366	—
Portugal	38	37	101	—
Romania	12	12	99	—
Slovakia	14	13	56	—
Slovenia	5	6	24	—
Spain ^a	401	387	506	375
Sweden	373	360	140	—
EU-27 total	4,484	4,332	4,332	1,891

Sources: ? for national digital advertising market data. M1: SWD(2018) 81 EU-27 base (EUR 4,700 M EU-28 $\times$ 0.70 excl. UK, per fn. 71) scaled to 2024 via IAB EU-27 advertising market growth 2022–2024 (factor 1.363) (??); allocated by IAB 2024 country shares. M2: $R_i = 3\% \times \bar{k} \times A_i$, $\bar{k} = 2.183$; 2024 base. M3: M2 EU-27 total reallocated by Eurostat isoc_ec_ib20 demand-side weights (individuals ordering online, 2024). Conf.: confirmed administrative revenues at national rates. ^a France and Spain are M2 anchors. ^b Italy 2025 exceeds M2 due to threshold removal. ^c Austria scope incompatible (advertising-only at 5%). ^d Ireland M1/M2 inflated by HQ bookings; M3 parenthesized. ^e Cyprus, Luxembourg, Malta: disaggregated from a combined estimate using population weights; individual figures rounded.

M1 and M2 diverge from M3 most sharply for Germany (EUR 1,213 M vs EUR 721 M) and Poland (EUR 192 M vs EUR 366 M). M2 allocates by where the industry books revenues (IAB supply-side data), which overstates jurisdictions with large advertising-buyer bases; M3 allocates by where individuals actually purchase online (Eurostat demand-side), which is closer to the user-location nexus of the tax. France becomes the largest projected contributor under M3 at EUR 798 M, ahead of Germany. The average of M2 and M3 is the most defensible country-level point estimate.

The supply-side versus demand-side divergence is structurally predicted. The formula apportionment literature shows that moving from headquarters-weighted to sales-destination-weighted allocation reallocates the tax base from investment-hub jurisdictions toward large consumer-market jurisdictions, with Germany and France as the principal gainers and the

Netherlands and Ireland as the main losers (?). The OECD reached the same position independently when designing Pillar One Amount A: Article 6(4) of the Multilateral Convention specifies GDP or final consumption expenditure as the explicit fallback when firm-level geographic segment data are unavailable, the same demand-side principle underlying M3 (?). A formal regression on the four DST anchor countries could in principle generate prediction intervals around the M2 point estimates, following the fiscal-scoring template of Crivelli, de Mooij and Keen (?); with four training observations such intervals would be too wide to be informative. The M2 to M3 spread is the operative uncertainty band.

The three-category EU-27 total at 3% is EUR 4.3 Bn per year under both M2 and M3 (Table 2). This is a genuine fiscal claim: the UK DST reached GBP 944 M in 2025–26 under a narrower single-country design at 2%; the three-category EU instrument covers twenty-seven states and three revenue streams and exceeds that figure from its first year. The base grows with the digital economy: advertising and intermediation revenues have expanded at double-digit rates in every year of national DST operation (?).

5 Effects and responses

Two questions bear on the practical viability of a DST: who ends up paying, and whether firms can reduce their exposure by restructuring. Revenue stability follows from the second. Six years of national experience in France, Italy, Spain, and Austria, alongside recent academic work on platform taxation, shed light on both questions.

5.1 Distributional effects

On incidence, platforms do not necessarily absorb the tax.

Langenmayr and Muddasani (?) provide the most direct test, using Amazon’s FBA fee schedules across France, Spain, Italy, and the United Kingdom following each DST introduction. In France and Spain the tax was passed through in full. In the United Kingdom fees rose by more than the tax amount. Italy is the exception: fee increases there were small and not statistically significant, showing that pass-through is a commercial choice rather than a structural necessity.

For the online advertising market specifically, Lassmann et al. (?) provide the closest empirical test. They use Facebook’s 2016 accounting restructuring as a natural experiment: where effective corporate tax rates rose, ad prices rose and advertisers bore the cost, consistent with the model’s prediction that the platform restricts ad supply in higher-taxed markets. The instrument is a corporate income tax, not a DST, but the authors note the price response is consistent with the advertising surcharges platforms applied when national DSTs were introduced.

National experience corroborates both. In France, Amazon notified marketplace sellers

of a 3 per cent fee increase on the day the TSN was enacted. In Italy, Google applies a 2.5 per cent operational surcharge to advertising services (?).

Across both marketplace and advertising markets, the evidence points in the same direction. The tax is not borne by the platforms. It is passed to the businesses that depend on them: marketplace sellers and advertisers, many of them SMEs, and from there in part to end consumers. Large digital firms bear only a marginal fraction of the economic burden. This is a genuine design constraint for a gross-revenue levy, and it is not unique to a European instrument: it characterises every national DST already in force. What EU coordination adds is the removal of the competitive distortion between member states, where advertisers in a high-DST country currently pay higher prices than those in an adjacent country with no DST. Fears of systemic volume contraction have not materialised. Digital advertising spend grew consistently in DST countries after introduction, at rates comparable to non-DST markets. Spend growth does not resolve the question of impression volumes, however. Higher CPMs with stable advertiser budgets mean fewer impressions per euro, a channel the available data leave unresolved.

5.2 Behavioral responses

Firms can in principle reduce their taxable base by restructuring contracts, reclassifying revenue streams, or adjusting intragroup allocations. The practical scope is limited: a DST based on user location cannot be avoided by moving where revenues are booked, because users cannot be relocated. National experience confirms this. Revenues in all four countries with data grew consistently after introduction, against expectations of significant avoidance (?).

On revenue stability, a tax on revenues is less sensitive to the business cycle than a tax on profits. Corporate income tax receipts can fall sharply in a downturn; digital activity and user engagement tend to hold up. The consistency of DST receipts in France, Italy, Spain, and Austria since introduction supports this (?).

5.3 It replaces fragmented national instruments

An EU instrument replacing rather than adding to the national DSTs eliminates the overlap problem. Member states that currently operate a DST phase it out as the EU instrument enters into force. The compliance cost for in-scope companies falls: one rate, one consolidated EU revenue base, one reporting framework, instead of up to eight national regimes with divergent definitions and nexus rules. Inconsistent national scope definitions create arbitrage that a uniform directive eliminates (?).

The replacement logic is directly preceded by the OECD Pillar 1 standstill: countries committed to withdraw national DSTs upon Amount A implementation. That trigger was never pulled. An EU instrument offers the same outcome at EU level, with the difference that the EU has jurisdiction to make the commitment binding.

5.4 It raises real money for the EU budget

The EUR 4.3 Bn estimate at 3% represents additionality: new public revenue from a sector that currently contributes far less in corporate tax than comparable traditional sectors. Germany, accounting for roughly 18% of EU-27 digital advertising and currently operating no national DST, would for the first time see revenues from digital services in its territory contribute to the European budget. The same applies to the Netherlands, Belgium, and Poland, all of which have substantial digital markets and no existing instrument capturing that base.

For member states that already operate national DSTs, replacement has a different value. France's TSN collects EUR 756 M per year while keeping France on the USTR Section 301 investigation list. An EU instrument at an equivalent effective yield removes the bilateral confrontation for all DST countries simultaneously. The revenue arithmetic for those states is roughly neutral; the risk reduction is material.

The fiscal context sharpens the significance of these figures. The Commission's 2025 own resources proposal (?) assembles approximately EUR 58 Bn in annual new revenue from ETS allowances, the Carbon Border Adjustment Mechanism, e-waste and tobacco contributions, and a corporate revenue contribution applicable to all large companies (CORE). That package is designed primarily to cover the NGEU debt service obligation, the legacy of the EUR 338 Bn in Recovery and Resilience Facility grant financing that must be repaid from the EU budget over 2028–2058. A DST at 3% adds EUR 4 to 5 Bn on top of that package, pushing the combined figure above the European Parliament's EUR 60 Bn own-resources floor (?). At 5%, the DST contributes EUR 7 to 8 Bn and becomes the largest single new own resource after ETS revenues. The instrument's revenue base grows with the digital economy: a levy on advertising, platform commissions, and user data tracks structural economic change in a way a tobacco contribution or e-waste levy cannot, giving the MFF fiscal trajectory a built-in upward bias that the other proposed own resources do not carry.

5.5 Strong economic justification

The 13.7 percentage-point ETR gap documented in SWD(2018) 81 (?) is the structural case for the instrument. It is not a snapshot; it reflects a persistent architectural feature of international tax law that the OECD process failed to correct. A revenue-based levy addresses it directly. Unlike corporate income tax, a DST is structurally resistant to transfer-pricing optimisation: it taxes gross revenues at source, before intragroup charges are applied, and the allocation key is where users are, not where the invoice is issued. Royalty flows to a low-tax IP holding company do not reduce a platform's advertising revenues or intermediation commissions in Germany.

The main distributional concern is that the tax shifts costs to advertising buyers rather than being absorbed by platforms. Lassmann, Liberini, Russo, Cuevas and Cuevas (?) find pass-through rates above 1.0 in all specifications: platforms maintain their margins,

and advertising buyers, many of them SMEs, bear the incidence. This is a genuine design constraint. For an EU-level instrument, however, it is not a new problem: the economics are identical to those of the national DSTs already in force. What EU coordination adds is the elimination of the competitive distortion between member states where advertisers in a high-DST country pay higher prices than those in an adjacent country with no DST.

6 Feasibility

6.1 Constitutional and legally sound

Article 113 TFEU provides the legal base for the harmonisation of indirect taxes. A DST structured as a levy on revenues rather than profits falls within its scope. The French Conseil constitutionnel confirmed on 12 September 2025 that user location is a constitutionally sufficient nexus for the TSN (?). A well-drafted EU directive replicating that architecture inherits the same legal characterisation.

The DST is not a tax on income within the meaning of bilateral tax treaties. France and the UK have confirmed this status explicitly for their national instruments: foreign tax credit claims in the United States are not triggered, and treaty non-discrimination provisions do not apply. These are the two key defences against the main legal challenges from treaty partners.

Where Council unanimity cannot be achieved, enhanced cooperation under Article 20 TEU allows a minimum of nine member states to proceed. France, Germany, Italy, Spain, the Netherlands, Belgium, and Poland together represent the dominant share of EU GDP and of the EU digital revenue base. A critical-mass coalition of these states would cover the substantial majority of the tax and create strong economic pressure on non-participating states to align.

6.2 Multiple governments have already signalled EU-level preference

The premise that a European DST faces unanimous member-state opposition is not accurate. Several governments have explicitly conditioned their national positions on the absence of an EU or OECD solution.

The Netherlands stated in 2023 that “an EU DST should be considered as an alternative to Pillar One, Amount A if a global agreement is not reached.” That agreement has now collapsed. Belgium’s coalition agreement of January 2025 commits to a 3% national DST by 2027 “contingent on absence of EU or OECD consensus,” making the EU route the stated preference and the national instrument a fallback. Poland’s Finance Ministry proposal of January 2026 is framed explicitly as temporary pending an OECD solution; Slovakia’s MIRD proposal of August 2025 uses identical language. In both cases the national proposal is a placeholder, not a policy preference.

The European Parliament has moved beyond endorsement to conditionality. The interim MFF report adopted in April 2026 (?) names a digital services levy as the first alternative own resource if the Council rejects the Commission’s package, and Parliament has stated it will not consent to an MFF without sufficient new own resources. Germany, the largest potential beneficiary of the instrument (a large digital market, no existing DST revenue to forgo), has not opposed an EU-level instrument.

6.3 Democratic backing

European citizens generate the attention, data, and transaction volume that make digital platforms profitable. The public infrastructure those platforms depend on, including rule of law, broadband networks, and the harmonised regulatory environment the single market provides, is financed by public budgets. The architecture of permanent establishment allows platforms to extract that value without proportionate fiscal contribution to the jurisdictions where it is produced. That gap is not a neutral outcome; it is the result of rules designed before the digital economy existed.

An EU instrument corrects this through democratic procedure. A directive under Article 113 TFEU requires European Parliament consultation, followed by Council agreement and national transposition. The OECD process that was supposed to resolve the same question involved finance ministries and technical working groups but no direct parliamentary vote in any jurisdiction. The Parliament’s conditionality on the MFF gives the democratic mandate institutional force: the body with budgetary consent authority has said that a digital levy is part of what it considers an adequate budget settlement.

7 Principal objections answered

EU firms would also be taxed. A non-discriminatory EU DST applies symmetrically to all companies above the thresholds. The practical effect on EU-domiciled firms is limited: no EU-headquartered company currently meets the EUR 750 M global threshold while being predominantly European in revenue. Booking.com and Just Eat Takeaway are potential concerns for the Netherlands; Spotify for Sweden. Threshold design can address the most acute cases without compromising the instrument’s coverage of its principal targets.

The US will retaliate. Section 301 investigations are already active against France, Austria, Italy, Spain, Turkey, and the UK (?). The relevant comparison is not between a European DST and no retaliation, but between a European DST and the current fragmented exposure of individual states. The 2021 termination of Section 301 actions without any DST withdrawal (?) established that US tariff threats have a ceiling.

The USTR’s own investigation reports establish the factual premise of the DST. Across the three EU member states with published reports, between 62% and 64% of covered company groups are US-based; no French, Italian, or Spanish company appears in the

advertising category of any of the three instruments (?). That concentration is the direct expression of the ETR gap the DST corrects: companies whose model depends on large-scale behavioural data collection and user-engagement optimisation generate these revenue streams at a scale no European peer has reached. The instrument targets the asymmetry, not the nationality. A European DST at a uniform rate, applied identically regardless of origin, is structurally less vulnerable to the discrimination objection than any national instrument whose legislative record documents an explicit intent to target US companies. The USTR's France report cited at least 75 public statements by the French finance minister referring to a "GAFA tax" before the bill was introduced; no equivalent record can attach to a non-discriminatory EU directive.

The collective action argument is developed in the following section.

Unanimity is impossible. Ireland, Luxembourg, Malta, and Cyprus have structural fiscal interests in blocking. Malta has flagged a veto explicitly (?). These are real constraints. Enhanced cooperation (minimum nine member states), bundling the DST in the MFF own-resources package so that blocking states face the cost of opposing the entire budget settlement, and a revised legal base argument for qualified majority are the three available paths. None is straightforward; all are viable.

The DST taxes revenues rather than profits and may reduce investment. The distortion the DST corrects is larger than the one it introduces. The 13.7 percentage-point ETR gap is a structural subsidy to digital business models embedded in existing law. A 3% revenue levy that partially closes this gap is corrective rather than purely distortionary. The gross revenue base is also robust in a way that profit is not: royalty flows to low-tax IP entities cannot reduce advertising revenues or intermediation commissions the way they reduce taxable profit. And the DST is explicitly interim: countries adopted national DSTs committed under the OECD standstill to withdraw them upon Pillar 1 implementation. Critics also warn that revenue-based taxation may reduce investment in digital services, since liabilities arise regardless of profitability and may affect high-growth, low-margin models. The evidence on this remains ambiguous; revenue growth in national DST countries has not shown the suppression of digital investment that theory predicts. The instrument's imperfections are the price of acting with available tools.

DST member states would transfer revenues from their budgets to Brussels.

The concern is valid in principle but less adverse than the arithmetic first suggests, and two policy levers address the residual gap.

The GNI mechanism provides partial automatic compensation. Every euro of EU own resource reduces aggregate GNI contributions by the same amount, distributed by each member state's GNI key. At a EU-27 DST pool of EUR 8–9 Bn, a member state representing 16% of EU GNI sees its annual GNI contribution fall by approximately EUR 1.4 Bn. France's national TSN at 3% yielded EUR 756 M in 2024; the corresponding GNI reduction from the EU instrument would exceed that figure. France's move to 6% in 2026

narrows the margin: at approximately EUR 1.5 Bn of national revenue, the GNI return of roughly EUR 1.4 Bn leaves a residual gap of approximately EUR 100 M, partially offset by France's share of EU expenditure financed by the additional pool and by the removal of Section 301 exposure.

Two levers address the residual. First, the transition interval allows rate adjustment. DST countries can use the period before the EU instrument enters into force to optimize their national rate, banking additional national revenue that reduces the gap at entry. France's move from 3% to 6% illustrates this logic: the transition period is a fiscal instrument in itself. Second, the MFF package. GNI contributions are not set mechanically: every MFF includes correction mechanisms negotiated as part of the political settlement. Countries that surrender a specific national revenue source to support EU own resources have a recognized basis for seeking an offsetting adjustment, whether through an abatement, a net-position correction, or a favorable treatment of a sectoral contribution. A DST-country correction could be structured into the MFF package without reducing the instrument's total revenue or altering its design.

The net position for DST countries is therefore a trade, not a surrender: a manageable revenue gap in exchange for coordinated protection against US bilateral pressure, elimination of compliance costs across the single market, and participation in the design of the instrument that will govern their digital tax policy in any scenario.

8 The stronger option: collective action

An EU-level DST is not merely a technically superior version of the national instruments now in force. The shift from individual member-state action to a collective EU instrument changes the strategic position of European governments vis-à-vis the United States in a way no individual state can replicate.

Section 301 of the Trade Act of 1974 works by threatening retaliatory tariffs on the DST country's goods exports (??). France faces renewed Section 301 investigations since February 2025; Italy is similarly listed. But Section 301 tariffs on French exports legally implicate the entire EU single market and trigger the EU's Trade Enforcement Regulation countermeasure framework. An EU-level DST replaces seven or eight individual bilateral targets with a single EU-level interlocutor backed by the weight of the single market.

The 2025 Section 899 episode confirms the leverage differential (?). Section 899's threat alone, before enactment, produced the G7 "shared understanding" of 26 June 2025 and the subsequent OECD side-by-side package. Section 301, relaunched in February 2025 and escalated to a 100% tariff threat in June 2026, has produced no DST withdrawal in Europe. Canada's repeal in June 2025 is the single exception: it was driven by direct bilateral negotiation pressure on a country without the EU's collective trade architecture (?). The asymmetry is the argument.

The MFF window reinforces the strategic case. Incorporating the DST into the own-

resources package changes the political economy of blocking. A country that benefits from EU structural and cohesion funding faces a different calculation when opposing a DST means opposing the entire MFF settlement. Collective leverage at the budget table is a tool individual national DSTs do not carry.

9 Extensions

The three-category instrument represents a conservative starting point. Two extensions merit consideration once the core instrument is established.

Rate. At 3%, the three-category base yields EUR 4 to 5 Bn. The instruments already in force include rates of 5% (Austria), 6% (France), and 7.5% statutory (Hungary). At 5%, the EU-27 yield scales proportionally to EUR 7 to 8 Bn; at 6%, matching the current French rate, to approximately EUR 8 to 9 Bn.

Intermediation base. The present design taxes the platform commission, not the underlying transaction value. A future extension could broaden the intermediation base toward the approach modelled in Thomadakis (?), which uses EU B2C e-commerce spending as a proxy, adding approximately EUR 14 Bn to the tax base. That requires clear legislative drafting to preserve the character of the instrument as a services levy, and it materially increases GATS and Section 301 exposure.

Conclusion

Six years of multilateral process have not produced a single instrument capable of closing the 13.7 percentage-point effective tax rate gap between digital and traditional companies. Eight EU member states have responded by enacting national DSTs. The result is a fragmented landscape that creates compliance costs, enables arbitrage, and leaves individual states exposed to bilateral US pressure without the collective weight of the Union.

A European digital services tax replacing those national instruments with a single EU-level design is the most tractable solution available. The instrument is administrable, legally grounded, economically justified, and consistent with growing member-state openness. At EUR 4 to 5 Bn per year at 3%—and EUR 7 to 8 Bn at 5%—it offers the MFF 2028–2034 own-resources negotiations a new block of revenue with a structural link to the digital economy and a clear trajectory of growth.

The political constraints are real: Ireland’s structural interest, Malta’s explicit veto threat, the unanimity requirement. They are not unique to this instrument; they have blocked more proposals than this one. Enhanced cooperation, MFF bundling, and the Parliament’s budgetary conditionality together constitute a credible political path that did not exist in 2018. The question is not whether the instrument can work. It can. The question is whether it is used.

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